

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-14

AIRBOSS DEFENSE GROUP, LLC,
COMPLAINANT,

v.

FEDEX TRADE NETWORKS TRANSPORT & BROKERAGE, INC., *et al.*,
RESPONDENTS.

**FEDEX TRADE NETWORKS TRANSPORT & BROKERAGE, INC.’S
MOTION TO DISMISS THE COMPLAINT, OR IN THE ALTERNATIVE,
MOTION FOR SUMMARY DECISION**

COMES NOW the Respondent, FedEx Trade Networks Transport & Brokerage, Inc. (“FTN”), by counsel, and pursuant to the Commission’s Rules of Practice and Procedure and Rule 12 of the Federal Rules of Civil Procedure, hereby moves to dismiss the complaint filed by the Complainant, Airboss Defense Group, LLC (“ADG”), or in the alternative, moves for summary judgment, and in support thereof, states as follows:

I. INTRODUCTION

ADG filed its complaint in this case alleging that FTN violated the Shipping Act of 1984, as amended, 46 U.S.C. § 40101 *et seq.* (the “Shipping Act”). Specifically, ADG alleges that FTN violated Sections 41102 and 41104 of the Shipping Act and Sections 545.4 and 545.5 of Commission regulations (46 C.F.R. §§ 545.4, 545.5) in connection with the ocean transportation of nitrile rubber gloves purchased by ADG from a Thailand-based seller, *inter alia*, by (1) accepting ADG’s cargo from McWilliams, (2) filing a lien on ADG’s cargo based on unpaid ocean freight charges, (3) demanding payment of allegedly inaccurate and unsupported demurrage,

detention, per diem and chassis charges without invoices, and (4) failing to extend or waive free time. See Compl., ¶¶ 36-39. As set forth below and as acknowledged by ADG in the Complaint, ADG has already settled and released all possible claims against FTN arising in connection with the shipments of ADG's gloves and therefore, this Complaint should be dismissed in its entirety with prejudice.

II. FACTUAL BACKGROUND

ADG alleges in the Complaint that in March 2021, it contracted with a Thailand-based seller to purchase nitrile rubber examination gloves (the "Goods") to fulfill a contract that it had with the United States Department of Health and Human Services. See Compl., ¶¶10-11. Thereafter, FTN contracted to transport the Goods to the United States. *Id.* at ¶12. On November 4, 2021, the United States Customs and Border Protection ("CBP") issued a Withhold Release Order against the manufacturer of the Goods that prevented entry of 202 shipping containers of the Goods into the United States. *Id.* at ¶14. FTN later filed a lawsuit against ADG in the United States District Court of Maryland (the "Maryland Lawsuit") seeking unpaid freight, storage, detention, demurrage, chassis, container, per diem, and other charges related to the Goods. *Id.* at ¶20.

On July 22, 2022, FTN and ADG settled the Maryland Lawsuit. *Id.* at ¶23. As part of the settlement, FTN and ADG entered into a fully integrated Settlement Agreement and Release, a copy of which is attached hereto as Exhibit 1 (the "Release"). While the Release itself was not attached to the Complaint, the Complaint did describe several of its key terms in Paragraph 23 (including the amount of the monetary payment it contemplated and FTN's related release of certain liens), and "courts may take into account documents whose contents are alleged in a complaint and whose authenticity no party questions, but which are not physically attached to the pleading." *Santa Fe Discount Cruise Parking, Inc., et al. v. The Board of Trustees of the Galveston*

Whares, et. al, FMC No. 14-06 (ALJ, November 21, 2014). A court “may treat such document as part of the complaint, and thus may assume that its contents are true for purposes of a motion to dismiss under Rule 12(b)(6).” *Id.*¹

In the Release, ADG released FTN from

all claims, demands, causes of action, obligations, liens, damages, losses, costs, attorneys’ fees, and expenses of any kind, known and unknown, fixed or contingent that either party may have or may acquire, or that may accrue in the future . . . by reason of any matter, cause, or thing arising out of or in any way related to the transactions giving rise to Freight Charges and/or Shoreside Charges.

See Exhibit 1, p. 3. As defined in the Release, “Freight Charges” and “Shoreside Charges” include all charges, fees, and claims relating to the 571 containers of gloves transported by FTN for ADG, including the 202 containers that were the subject of the Withhold Release Order (the “WRO Containers”). *Id.* at p. 1. Each of the alleged violations of the Shipping Act identified by ADG in its Complaint arise out of or relate to the transactions giving rise to the Freight Charges and Shoreside Charges. Accordingly, by its express terms, the Release applies to the claims asserted against FTN in this proceeding and the Complaint should be dismissed.

III. STANDARD OF REVIEW

While the Commission’s Rules of Practices and Procedure do not explicitly provide for a motion to dismiss, Rule 12 of the Commission’s Rules of Practice and Procedure (the “FMC Rules”) states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. As the Commission’s Rules do not address a motion to dismiss for failure to state a claim, Federal Rule 12(b)(6) applies to this case. *See, e.g.,*

¹ To the extent the Commission should determine that the Release cannot be consider under Rule 12(b)(6), FTN respectfully requests that the Commission treat FTN’s motion as one for summary decision and admit the Release for the purposes of granting summary decision and dismissal of the Complaint against FTN.

The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District, FMC No. 06-02 (FMC, August 2, 2007).

“To survive a motion to dismiss under Rule 12(b)(6), a complaint must contain sufficient factual matter, acceptable as true, to ‘state a claim to relief that is plausible on its face.’” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). In addition, a motion to dismiss must be assessed in light of the pleading standards of Rule 8, which require “a short and plain statement of the claim showing that the pleader is entitled to relief.” Rule 8, Fed. R. Civ. P.

The pleading standard “does not require ‘detailed factual allegations,’ but it demands more than an unadorned, the-defendant-unlawfully-harmed-me accusation.” *Ashcroft v. Iqbal*, 556 U.S. 662, 667, 129 S.Ct. 1937, 1949, 173 L. Ed. 2d 868 (2009) (quoting *Twombly*, 550 U.S. at 555)). “A pleading that offers ‘labels and conclusions’ or a formulaic recitation of the elements of a cause of action will not do.” *Id.* (quoting *Twombly*, 550 U.S. at 555). Nor does a complaint suffice if it tenders ‘naked assertions’ devoid of further factual enhancement” *Id.* (quoting *Twombly*, 550 U.S. at 557).

“A claim has facial plausibility when the plaintiff pleads factual content that allows the court to draw reasonable inferences that the defendant is liable for the misconduct alleged.” *Id.* (citing *Twombly*, 550 U.S. at 556). This facial plausibility standard “asks for more than a sheer possibility that a defendant has acted unlawfully.” *Id.* Although the allegations in the complaint must be taken as true, the Court is “not bound to accept as true legal conclusions couched as a factual allegation.” *Id.*

IV. ARGUMENT

A. ADG has Released All of its Claims in the Complaint against FTN

As this is a federal tribunal enforcing a federal statute, federal law is applied to the release. *Lisa Anne Cornell, et. al v. Princess Cruise Lines, Ltd. (Corp.), et. al*, FMC No. 13-02 (ALJ July

23, 2013), citing *Ingram Corp. v. J. Ray McDermott & Co., Inc.*, 698 F.2d 1295, 1316 and n. 57 (5th. Cir. 1983). “The effect of the release is determined in accordance with the intentions of the parties.” *Zenith Radio Corp. v. Hazeltine Research, Inc.*, 401 U.S. 321, 342-348 (1971). The United States Supreme Court has held that a claim filed by a private party with the FMC “is controlled by that private party; the only duty assumed by the FMC, and hence the United States, in conjunction with a private complaint is to assess its merits in an impartial manner.” *Federal Maritime Com’n v. South Carolina State Ports Auth.*, 535 U.S. 743, 764 (2002).

In this case, the broad and inclusive release language in the Release unquestionably demonstrates that the parties’ intentions in the Release were to release and waive any and all possible claims related to the Goods, in any forum, whether those claims were pending at the time of the execution of the Release or may have been brought in the future. See Exhibit 1, p. 3. The Release uses the broadest possible language to encompass all disputes, which certainly would include the claims asserted by ADG in this proceeding. All of the alleged violations of the Shipping Act in the Complaint relate to actions taken and/or charges assessed by FTN to ADG which are encompassed within the scope of the claims released therein. If the parties had intended to carve out an exception for claims brought pursuant to the Shipping Act, they certainly could have done so. Instead, the language used in the Release clearly conveys an intent by both parties to bring finality to their dispute, subject to their respective obligations under the Release.

As noted above by the United States Supreme Court, the claims brought in this litigation are controlled by ADG and are therefore included in the Release, which bars ADG from bringing this lawsuit with the FMC, at least with respect to FTN. See also *Quality Recycling Services, Inc. v. Page Intern., Inc.*, 2012 WL 2577514, (W.D. Tenn. July 3, 2012). In *Quality Recycling*, the plaintiff sought to enforce a judgment entered by the FMC despite having signed a general release

of all claims that it had against the defendant. In rejecting the plaintiff's argument and entering judgment for the defendant, the Court stated that:

[t]he Release of Claims purports to release all claims QRS has against Page International. The FMC action was such a 'claim.' Clearly, the unambiguous intent of [the Release of Claims] was to permanently end the prospect of litigation between QRS and Page International.

Id. at *6.

The Release entered into by ADG and FTN contained a similar provision and also evinced this same intent to permanently end the prospect of litigation between FTN and ADG. Accordingly, as all claims brought by ADG in this case against FTN have already been released pursuant to the Release, the Complaint should be dismissed in its entirety with prejudice as to FTN.

WHEREFORE, FedEx Trade Networks Transport & Brokerage, Inc. ("FTN"), by counsel, requests that the Complaint be dismissed with prejudice, for the Commission to award FTN its reasonable attorneys' fees incurred in bringing this motion pursuant to the terms of Section 9 of the Release, and for such further and additional relief as the Commission deems just and proper.

Respectfully submitted,



David K. Monroe
Michael J. Smith
Rachel E. Amster
GKG LAW, P.C.
The Foundry Building
1055 Thomas Jefferson Street NW
Suite 620
Washington, DC 20007
Telephone: 202-342-5235
Facsimile: 202-342-5299
Email: dmonroe@gkglaw.com
msmith@gkglaw.com
ramster@gkglaw.com

*Attorneys for FedEx Trade Networks
Transport & Brokerage, Inc.*

Dated: May 31, 2024

CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the parties to this proceeding by depositing same in the United States mail, first class postage prepaid, and/or via email transmission, this 31st day of May, 2024.


David K. Monroe